6.9% of GDP—fiscal deficit in the current year as against 6.8% projected in the budget estimates

8,595 mn Passengers the railways is gearing up to carry in fiscal 2022-23



"THE AIM IS TO DEVELOP SIGNALS TECHNOLOGY INDIGENOUSLY AND MAKE IT WORLD CLASS FOR EXPORT TO COUNTRIES THAT USE A VERY GOOD RAILWAY NETWORK"

– ASHWINI VAISHNAW

Union Minister for Railways, Communications and Electronics & IT



MANEESH AGNIHOTRI



"The capital expenditure is likely to crowd in private investment and support economic growth," says Ajay Piramal, chairman of the Piramal Group. "For every Rs 1 crore of capex, economic production grows by Rs 2.45 crore." Moreover, modern infrastructure and multimodal connectivity will help in efficient transport of goods and people, which are key inputs for all businesses, adds Piramal. According to Varun Berry, MD of Britannia Industries, the capex hike "will induce demand for services and manufactured inputs from large industries and MSMEs, and help farmers through better infrastructure".

How does the government plan to boost the seven engines of transformation? A brief analysis:

MUCH OF THE MODI GOVERNMENT'S CAPEX PUSH IS ON HIGHWAYS. THE CENTRE PLANS TO EXPAND THE NATIONAL HIGHWAY NETWORK BY 25,000 KM IN 2022-23

HIGHWAY TO GROWTH

Much of the Modi government's infrastructure push is on highways. The Centre plans to expand the National Highway network by 25,000 km in 2022-23, boosting it by one-fifth of the total of 136,440 km. As much as Rs 20,000 crore will be mobilised through 'innovative financing' to complement the public resources. Roads and highways capex for the next fiscal is only 0.8 per cent higher than revised estimates of fiscal 2022. As a Crisil analysis notes, the entire Rs 1.88 lakh crore is via gross budgetary support, which is 55 per cent higher than the current fiscal. For roads, the government has not provisioned for any external budgetary resources. Isha Chaudhary, director, Crisil, explains that with soaring debt of the National Highways Authority of India, the government will directly spend the money. Ten per cent of the funding will come from asset monetisation where roads and highways have seen success.

Getting the private sector on board is expected to be the government's big challenge, even as it hopes to 'crowd in' private investment through a massive public expenditure push. Vijay Chhib-